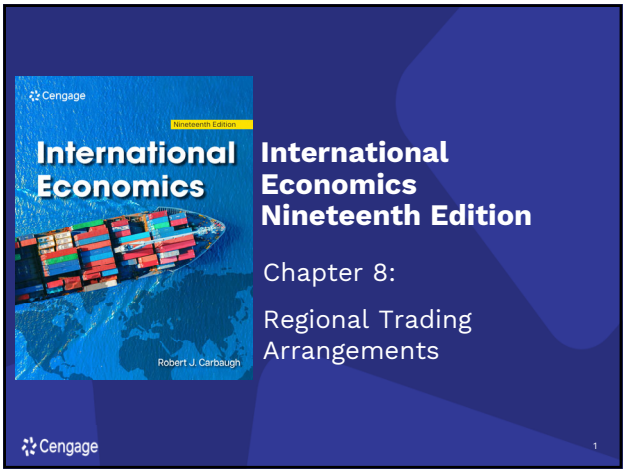


1

Chapter Objectives

After completing this chapter, you should be able to:

8.1 Distinguish between regional integration and multilateralism.

8.2 List and characterize the different types of regional trading arrangements.

8.3 Describe the static effects and dynamic effects of a regional trading arrangement.

8.4 Describe the role and function of selected regional trading agreements, including optimal currency areas.

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

2

Regional Integration versus Multilateralism

- Reciprocal reduction of trade barriers on a non-discriminatory basis
  - Tariff reductions agreed on by any two nations would be extended to all other members
- Regional trading arrangements
  - Member nations agree to impose lower barriers to trade within group than with nonmember nations

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

3

Regional Integration versus Multilateralism

- Major purpose of WTO is to promote trade liberalization through global agreements
- Getting many countries to agree is difficult
- By early 2000s, WTO was stumbling
- Countries increasingly looking to regional agreements as alternative
- Number of regional agreements has risen to 300, covering more than half of international trade

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

4

Regional Integration versus Multilateralism

- Some regional blocs decrease discretion of member nations to pursue trade with outsiders
- Once regional benefits received, little incentive to sign multilateral WTO agreement that would negate those benefits

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

5

Regional Integration versus Multilateralism

- Regional agreements may achieve deeper economic interdependence
- Self-reinforcing process is set in place by the establishment of a regional free- trade area

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

6

Regional Integration versus Multilateralism

- Regional liberalization encourages partial adjustment of workers
  - Out of import-competing industries in which the nation's comparative disadvantage is strong
  - Into exporting industries in which the nation's comparative advantage is strong

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

7

Types of Regional Trading Arrangements

- Economic Integration
  - A process of eliminating restrictions on international trade, payments, and factor mobility
  - Results in the uniting of two or more national economies in a regional trading arrangement

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

8

Types of Regional Trading Arrangements

Trading Arrangement	Characteristics
Free-trade area	• Tariffs & nontariff barriers removed among members
Customs union	• Tariff & nontariff barriers removed among members • Member nations impose identical trade restrictions against nonparticipants
Common market	• Permits free movement of goods and factors of production among members, and applies common external trade restrictions against non-members
Economic union	• National, social, taxation, & fiscal policies harmonized & administered by supranational institution
Monetary union	• Unification of national monetary policies • Use of common currency administered by supranational monetary authority

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

9

Table 8.1 U.S. Free-Trade Agreements

Agreement	Date of Implementation	Agreement	Date of Implementation
Israel	1985	Morocco	2006
Canada	1989	CAFTA-DR**	2006
NAFTA*	1994	Oman	2009
Jordan	2001	Peru	2009
Chile	2004	South Korea	2012
Singapore	2004	Colombia	2012
Australia	2005	Panama	2012
Bahrain	2006	USMCA	2020

*Members of NAFTA include Canada, Mexico, and the United States.
**Members of the Central American Free Trade Agreement (CAFTA-DR) include Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Nicaragua, and the United States. DR stands for Dominican Republic.

Source: U.S. Census Bureau, *Foreign Trade Statistics*, and WTO, Regional Trade Agreements Information System.

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

10

What is the Impetus for Regionalism?

- Prospect of enhanced economic growth
  - Economies of large-scale production
  - Increased specialization and learning-by-doing
  - Increased foreign investment

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

11

What is the Impetus for Regionalism?

- Variety of noneconomic objectives
  - Management of immigration flows
  - Promotion of regional security
- Enhance & solidify domestic economic reforms

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

12

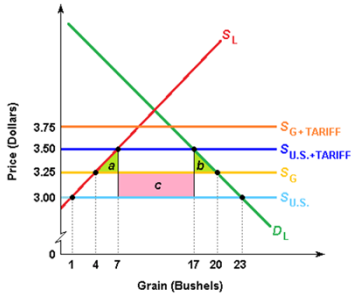
Static Effects

- Welfare-increasing trade creation effect
  - Domestic production of one member in union replaced by another member's lower-cost imports
  - Production and consumption effects
- Welfare-decreasing trade diversion effect
  - Imports from low-cost supplier outside union replaced by higher-cost supplier within union

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

13

Figure 8.1 Static Welfare Effects of a Customs Union



Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

14

Dynamic Effects

- Creation of broader markets
- Dynamic gains
  - Economies of scale
  - Greater competition
  - Increased investment
  - Accelerated pace of technical advance; increased productivity

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

15

Pursuing Economic Integration

- 1950s: Western Europe removed tariff & exchange restrictions as counterproductive
- 1957: Pursuant to Treaty of Rome, European Community became European Union
  - Primary goal of trade liberalization
  - Original members: Belgium, France, Italy, Luxembourg, the Netherlands, West Germany

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

16

Pursuing Economic Integration

- **1957:** Trade liberalization
- **1968:** Free-trade area
- **1970:** Customs union
- **1985:** Announced program to form common market
- **1992:** Elimination of all nontariff trade barriers
- **2002:** European Monetary Union (EMU) & single currency (Euro)

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

17

Pursuing Economic Integration

- Mandated alignment of economic and monetary policies
- Convergence criteria
  - Price stability
  - Low long-term interest rates
  - Stable exchange rates
  - Sound public finances

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

18

Pursuing Economic Integration

- European Monetary Union (EMU) emerged with common currency in 2002
- Euro is the official currency of 18 of 28 member nations (the Eurozone)
  - Maintaining their own currencies are the United Kingdom, Denmark, and Sweden (the UK left)

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

19

Agricultural Policy

- Common Agricultural Policy (CAP)
  - Abolished restrictions on agricultural products traded internally
- Support of prices received by farmers
  - Deficiency payments, output controls, and direct income payments
  - Variable levies
  - Export subsidies

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

20

Agricultural Policy

- Variable Levies
  - Levies determined daily
    - Difference between lowest price on world market and support price
  - More restrictive than fixed tariff
  - Discourages foreign producers from:
    - Absorbing part of tariff
    - Cutting prices to maintain export sales

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

21

Agricultural Policy

- Export Subsidies
  - Ensure that any surplus agricultural output will be sold overseas
  - EU farmers–incentive to increase production
  - Reduce domestic supply
  - Eliminate need for government to purchase the excess

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

22

Table 8.2 Government Support for Agriculture, 2020–2022

Country	Producer-Subsidy Equivalents* as a Percentage of Gross Farm Receipts
Norway	51.0%
Iceland	50.2
Switzerland	48.7
South Korea	46.3
Japan	37.6
European Union	16.5
United States	11.3
Canada	9.4
Mexico	8.9
Australia	2.9
New Zealand	1.1

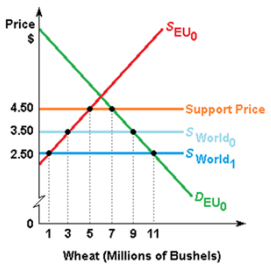
*The producer-subsidy equivalent represents the total assistance to farmers in the form of market price support, direct payments, and transfers that indirectly benefit farmers..

Source: OECD, *Agricultural Policy Monitoring and Evaluation* 2023, Developments in Agriculture Policy and Support. WTO, *Annual Report*, various issues.

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

23

Figure 8.2 Variable Levies



Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

24

Is the European Union Really a Common Market?

- For decades, members of the EU have tried to build a common market with uniform policies on product regulation, trade, movement of factors of production
- But persistent regulatory differences between markets have adversely affected business expansion plans throughout Europe

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

25

Britain Withdraws from the European Union (Brexit)

- Since the founding of the EU in 1957, 28 countries have joined and none have left
- Vote of 52 percent to 48 percent to exit EU (Brexit)
- Referendum of 2016
  - Brexit movement split U.K. Conservative party
  - Fears about too much power to Brussels
  - Fears about immigration

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

26

Britain Withdraws from the European Union (Brexit)

- Better off financially?
  - U.K. contributes more to EU than it gets in return
- Weaker economy and security for Europe in general
- U.K. could lose foreign investment

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

27

Optimal Currency Area

- European Monetary Union (EMU) led to single currency (euro)
  - Lowers costs of goods and services
  - Facilitates comparison of prices within EU
  - Promotes more uniform prices
- European Central Bank, Frankfurt
  - Controls euro supply
  - Sets short-term euro interest rate
  - Maintains permanently fixed exchange rates for member countries

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

28

Optimal Currency Area

Benefits	Costs
• More uniform prices; lower transaction costs	• Loss of independent monetary policy
• More certainty for investors; enhanced competition	• Eliminates flexibility of changing exchange rate
• Greater price stability	

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

29

Optimal Currency Area

- For monetary union to have best chance of success
  - Similar business cycles and economic structures
  - Single monetary policy should affect all participating countries in same manner
  - No legal, cultural, or linguistic barriers to labor mobility
  - Wage flexibility
  - System of stabilizing transfers

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

30

Table 8.3 Advantages and Disadvantages of Adopting a Common Currency

Advantages	Disadvantages
The risks associated with exchange fluctuations are eliminated within a common currency area.	Absence of individual domestic monetary policy to counter macroeconomic shocks.
Costs of currency conversion are lessened.	Inability of an individual country to use inflation to reduce public debt in real terms.
The economies are insulated from monetary disturbances and speculation. Political pressures for trade protection are reduced.	The transition from individual currencies to a single currency could lead to speculative attacks.

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part. 31

31

The Eurozone as a Suboptimal Currency Area

Problems	Challenges
• Some countries did not meet economic entry criteria	• Ability of EU Central Bank to focus on price stability over long term
• Integration of differing economies without adjustment	• Operation of monetary policy
• Difficulties in reducing budget deficits	• Difficulty in reducing budget deficits and debts
	• Need for structural reform

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part. 32

32

USMCA's Benefits and Costs for Mexico and Canada

- The North American Free Trade Agreement (NAFTA), which went into effect in 1994
- In 2020, NAFTA was updated to become the United States–Mexico–Canada Agreement (USMCA)

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part. 33

33

USMCA's Benefits and Costs for Mexico and Canada

- Benefits:
  - Expected to provide each member nation better access to the others' markets, technology, labor, and expertise
  - United States would benefit from Mexico's pool of cheap and increasingly skilled labor
  - Mexico would benefit from U.S. investment and expertise

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part. 34

34

USMCA's Benefits and Costs for Mexico and Canada

- Benefits to Mexico
  - Benefits to Mexico much greater than for U.S. & Canada because their economies are much larger than that of Mexico
  - Increase in production of goods and services in which Mexico has comparative advantage
- Costs to Mexico
  - Producers of rice, beef, pork & poultry devastated, as they cannot compete with U.S. products

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part. 35

35

USMCA's Benefits and Costs for Mexico and Canada

- Canada's benefits from mostly in form of safeguards
  - Maintenance of its status in international trade
  - No loss of current free trade preferences in U.S. market
  - Equal access to Mexico's market
- Major concern that closer integration with U.S. economy would threaten Canada's social welfare model

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part. 36

36

Table 8.4 Winners and Losers in the United States Under Free Trade With Mexico

U.S. Winners	U.S. Losers
Higher-skill, higher-tech businesses and their workers benefit from free trade.	Labor-intensive, lower-wage, import-competing businesses lose from reduced tariffs on competing imports.
Labor-intensive businesses that relocate to Mexico benefit by reducing production costs. Domestic businesses that use imports as components in the production process save on production costs. Consumers in the U.S. benefit from less expensive products because of increased competition with free trade.	Workers in import-competing businesses lose if their businesses close or relocate.

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

37

USMCA'S Benefits and Costs for the U.S.

- Benefits:
  - Expanding trade opportunities
  - Reducing prices
  - Increasing competition
  - Enhancing ability of U.S. firms to attain economies of large-scale production
  - Providing reliable source of petroleum
  - Decreasing illegal immigration
  - Enhancing political stability in Mexico as country becomes wealthier

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

38

USMCA'S Benefits and Costs for the U. S.

- Costs:
  - Citrus & sugar industries that rely on trade barriers to limit imports of low-priced Mexican goods
  - Unskilled workers, e.g., in apparel industry, who now face competition with low-wage workers abroad, leading to job losses
  - Prediction of mass relocation of U.S. firms to Mexico proved unfounded
    - U.S. workers more productive, so could be paid higher wage at no loss to company

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

39

Negotiating the USMCA of 2020

- USMCA contains about 90 percent of the provisions of the original NAFTA of 1994, with some important changes:
  - Automobiles
  - Mexican labor
  - Technology liberalization
  - Currency manipulation
  - Agriculture
  - Sunset provision

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

40

Mexico Poised for a Nearshoring Wave

- For American manufacturers, Mexico has become an attractive option to bring production closer and away from China
  - Proximity to the United States
  - Free-trade area
  - Cost and availability of labor
  - Political stability

Cengage Robert J. Carbaugh, International Economics, Nineteenth Edition. © 2026 Cengage. All Rights Reserved. May not be scanned, copied or duplicated, or posted to a publicly accessible website, in whole or in part.

41